THE PERSONALITY OF ASSOCIATIONS

I

THE state knows certain persons who are not men. What is the nature of their personality? Are they merely fictitious abstractions, collective names that hide from us the mass of individuals beneath? Is the name that gives them unity no more than a convenience, a means of substituting one action in the courts where, otherwise, there might be actions innumerable? Or is that personality real? Is Professor Dicey right when he urges [1] that "whenever men act in concert for a common purpose, they tend to create a body which, from no fiction of law but from the very nature of things, differs from the individuals of whom it is constituted"? Does our symbolism, in fact, point to some reality at the bottom of appearance? If we assume that reality, what consequences will flow therefrom?

Certainly no lawyer dare neglect the phenomena of group life, even if on occasion [2] he denies a little angrily the need for him to theorize about them. For man is so essentially an associative animal that his nature is largely determined by the relationships thus formed. The churches express his feeling that he has need of religion. His desire for conversation and the newspapers results in the establishment of clubs. The necessity of social organization gave birth to the state. As his commercial enterprise began to annihilate distance, the trading company came into being. It would not, one urges, be over-emphasis to assert that in every sphere of human activity associations of some kind are to be found. They are the very life-breath of the community.[3]

And, somehow, we are compelled to personalise these associations. They demand their possessive pronouns; the church has "its" bishops. They govern a singular verb; the railway company

[1] LAW AND PUBLIC OPINION, p. 165.

[2] See, for instance, H. A. SMITH, LAW OF ASSOCIATIONS (1914), p. 129.

[3] On the relation between individual personality and social groups the reader will find much of deep interest in WILFRED RICHMOND, PERSONALITY AS A PHILOSOPHICAL PRINCIPLE (1900). I personally owe much to this fascinating book.

"employs" servants. The United States of America is greater than all Americans; it becomes a single individual, and fraternises, Jonathan-wise, with a John Bull in whom all Englishmen have their being. The Bank of England is — the phrase, surely, is remarkable — the "little old lady of Threadneedle Street"; but no one would speak of seven distinguished merchants as a little old lady. The House of Commons is distinct from "its" members, and, no less clearly, it is not the chamber in which they meet. We talk of "its" "spirit" and "complexion"; a general election, so we say, changes "its" "character." Eton, we know well enough, is not six hundred boys, nor a collection of ancient buildings. Clearly, there is compulsion in our personalising. We do it because we must. We do it because we feel in these things the red blood of a living personality. Here are no mere abstractions of an over-exuberant imagination. The need is so apparent as to make plain the reality beneath.

II

Now lawyers are practical men dealing with the very practical affairs of everyday life, and they do not like, in Lord Lindley's phrase,[4] "to introduce metaphysical subtleties which are needless and fallacious." The law, so they will say, knows persons; by Act of Parliament[5] "persons" may include bodies corporate. Persons are the subjects of rights and duties which the courts will, at need, enforce. If a body corporate is a person, it will also be the subject of rights and duties. If it is a person, it is so because the state has conferred upon it the gift of personality; for only the state can exercise that power. And the terms of such conference are strictly defined. The corporation is given personality for certain purposes to be found in its history, in its charter, its constituting act, its articles of association. The courts will say whether certain acts come within those purposes; whether, to use technical terms, they are *intra* or *ultra vires*. This limitation is in the public interest. "The public," so the courts have held,[6] "is entitled to hold a registered company to its registered business." The company

[4] Citizens' Life Assurance Co. *v.* Brown, [1904] A. C. 423, 426.

[5] 52 & 53 VICT., c. 63, § 19.

[6] Attorney-General *v.* Great Eastern Ry. Co., L. R. 11 Ch. D. 449, 503 (1879), per Lord Bramwell.

has a personality; but it has a personality capable only of very definitised development.

Why is it so limited? English lawyers, at any rate, have no doubt upon this question. The corporation is the creature of the state.[7] Its will is a delegated will; its purpose exists only because it has secured recognition. And, so the lawyers will tend to imply, it is in truth a fictitious thing. Persons, they know well enough, are human beings; the corporation is invisible and *in abstracto*.[8] It has no human wants. "It cannot," so an American judge has said,[9] "eat or drink, or wear clothing, or live in houses"; though hereto a sceptic might retort that a theory of domicile has given some trouble, and ask if there is not a solid reality about the dinners of the Corporation of London. "It is," said Marshall, C. J.,[10] "an artificial being, invisible, intangible, and existing only in contemplation of law" . . . "it is precisely," he says again, "what the act of incorporation makes it." "Persons," said Best, C. J., in 1828,[11] "who, without the sanction of the legislature, presume to act as a corporation, are guilty of a contempt of the King, by usurping on his prerogative."

Nor are the textbook writers less definite. "They are legal persons," says Austin,[12] "by a figment, and for the sake of brevity in discourse." "To the existence of all corporations," wrote Kyd in 1793,[13] "it has long been an established maxim that the King's consent is absolutely necessary." "Ten men," notes Professor Salmond satirically,[14] "do not become in fact one person because they associate themselves together for one end any more than two horses become one animal when they draw the same cart." "The most marked distinction," Mr. Holland has written in a famous textbook,[15] "between abnormal persons is that some are natural . . . while others are artificial . . . which are treated by law for certain purposes as if they were individual human beings."

[7] *I. e.*, they accept the "concession" theory, so called. That they have accepted the "fiction theory" is denied by Sir F. Pollock in the LAW QUART. REV. for 1911.

[8] Sutton's Hospital Case, 10 Co. 13 (1612).

[9] Darlington *v.* Mayor, etc. of New York, 31 N. Y. 164, 197 (1865).

[10] Dartmouth College *v.* Woodward, 4 Wheat. (U. S.) 518, 636 (1819).

[11] Duvergier *v.* Fellows, 5 Bing. 248, 268.

[12] JURISPRUDENCE, Lect. XII.

[13] 1 TREATISE ON CORPORATIONS, p. 41.

[14] JURISPRUDENCE (ed. of 1902), p. 350.

[15] JURISPRUDENCE, 11 ed., p. 385.

Here is clear doctrine enough — a vivid picture of an all-absorptive state. But when this supposed limitation has once been admitted, it is evident that the state is compelled to do remarkable things with the bodies it has called into being. It fails to regulate them with the ease that might be desired. The definition of *ultra vires*, for example, has become a formidable problem; there seems not a little of accident in the formulation of its principles. Corporations will have a curious habit of attempting perpetually to escape from the rigid bonds in which they have been encased. May we not say that, like some Frankenstein, they show ingratitude to their creators? Or, as artificial things, must we deem them incapable of such thought? A corporation will possess itself of an empire, and resent[16] interference with its domain. An American colony will incorporate itself; and when its creator shows signs of wanton interference, will take the lead in rebellion against the state which, in legal theory, at any rate, gave it birth. Truly the supposed sovereignty of the state is not apparent in the relations thus discovered. The orthodox doctrine needs somewhat closer examination before we accept its truth.

III

But even when we have so examined, there are associations which technically at least are not corporations. That trust which Maitland taught us to understand as so typically English will embrace many of them under its all-protecting fold. Contract, as in the club, will account for much, and with the aid of a little fiction we need have no fear of theory. A mighty church will in Scotland be a trust and not a corporation. In America the operations of certain trusts which are not corporations will necessitate a famous Act of Congress. For otherwise they can hardly come into the courts. They have no name by which to be sued. To the law, they are not persons, have no personality; they are bodies unincorporate, bodies — the thought is charmingly English — which are bodiless. Yet, curiously, the technical formulæ do not by their absence reveal any essential lack of corporate character. The Stock Exchange has, in any real meaning of the term, a personality as assuredly effective as that of Lloyds. If, to the law, they are essentially distinct, to practical men and women it seems useless to

[16] J. S. Mill, Autobiography, p. 143.